

January 27, 2026

SUBMITTED VIA CFTC PORTAL

Secretary of the Commission
Office of the Secretariat
U.S. Commodity Futures Trading Commission
Three Lafayette Centre
1155 21st Street, N.W.
Washington, D.C. 20581

Re: KalshiEX LLC – CFTC Regulation 40.2(a) Notification Regarding the Initial Listing of the “Will <player> win <scope> of <tennis match> by <above/below/exactly/between/at least> <count> <metric>?” Contract

Dear Sir or Madam,

Pursuant to Section 5c(c) of the Commodity Exchange Act and Section 40.2(a) of the regulations of the Commodity Futures Trading Commission, KalshiEX LLC (Kalshi), a registered DCM, hereby notifies the Commission that it is self-certifying the “Will <player> win <scope> of <tennis match> by <above/below/exactly/between/at least> <count> <metric>?” contract (Contract). The Contract will initially be listed after close-of-business on **January 28, 2026**; it is listed as the day after because of limitations of the Commission's online submission portal. The Exchange intends to list the contract on a **custom** basis. The Contract’s terms and conditions (Appendix A) includes the following strike conditions:

- **<player>**
- **<scope>**
- **<tennis match>**
- **<above/below/between/exactly/at laest>**
- **<count>**
- **<metric>**
- **<date>**

Along with this letter, Kalshi submits the following documents:

- A concise explanation and analysis of the Contract;
- Certification;
- Appendix A with the Contract’s Terms and Conditions;
- Confidential Appendices with further information; and
- A request for FOIA confidential treatment.

If you have any questions, please do not hesitate to contact me.

Sincerely,

Xavier Sottile
Head of Markets
KalshiEX LLC
xsottile@kalshi.com

KalshiEX LLC

Official Product Name: “Will <player> win <scope> of <tennis match> by <above/below/exactly/between/at least> <count> <metric>?”

Rulebook: TENNISWINMARGIN

Summary: Tennis wins by margin

Kalshi Contract Category: Sports ▾

Kalshi Internal Category: Sports ▾

Date of Submission

CONCISE EXPLANATION AND ANALYSIS OF THE PRODUCT AND ITS COMPLIANCE WITH APPLICABLE PROVISIONS OF THE ACT, INCLUDING CORE PRINCIPLES AND THE COMMISSION'S REGULATIONS THEREUNDER

Pursuant to Commission Rule 40.2(a)(3)(v), the following is a concise explanation and analysis of the product and its compliance with the Act, including the relevant Core Principles (discussed in Appendix D), and the Commission's regulations thereunder.

I. Introduction

The “Will <player> win <scope> of <tennis match> by <above/below/exactly/between/at least> <count> <metric>?” Contract is a contract relating to **Sports ▾**.

Further information about the Contract, including an analysis of its risk mitigation and price basing utility, as well as additional considerations related to the Contract, is included in Confidential Appendices B, C, and D.

Pursuant to Section 5c(c) of the Act and CFTC Regulations 40.2(a), the Exchange hereby certifies that the listing of the Contract complies with the Act and Commission regulations under the Act.

General Contract Terms and Conditions: The Contract operates similar to other event contracts that the Exchange lists for trading. The minimum price fluctuation is \$0.01 (one cent). Price bands will apply so that Contracts may only be listed at values of at least \$0.01 and at most \$0.99. Further, the Contract is sized with a one-dollar notional value and has a minimum price fluctuation of \$0.01 to enable Members to match the size of the contracts purchased to their economic risks. As outlined in Rule 5.16 of the Rulebook, trading shall be available at all times outside of any maintenance windows, which will be announced in advance by the Exchange. Members will be charged fees in accordance with Rule 3.13 of the Rulebook. Fees, if they are charged, are charged in such amounts as may be revised from time to time to be reflected on the Exchange’s Website. A new

Source Agency can be added via a Part 40 amendment. All instructions on how to access the Underlying are non-binding and are provided for convenience only and are not part of the binding Terms and Conditions of the Contract. They may be clarified at any time. Furthermore, the Contract's payout structure is characterized by the payment of an absolute amount to the holder of one side of the option and no payment to the counterparty. During the time that trading on the Contract is open, Members are able to adjust their positions and trade freely. The Expiration Value and Market Outcome are determined at or after Market Close. The market is then settled by the Exchange, and the long position holders and short position holders are paid according to the Market Outcome. In this case, "long position holders" refers to Members who purchased the "Yes" side of the Contract and "short position holders" refers to Members who purchased the "No" side of the Contract. If the Market Outcome is "Yes," meaning that an event occurs that is encompassed within the Payout Criterion, then the long position holders are paid an absolute amount proportional to the size of their position and the short position holders receive no payment. If the Market Outcome is "No," then the short position holders are paid an absolute amount proportional to the size of their position and the long position holders receive no payment. Specification of the circumstances that would trigger a Market Outcome of "Yes" are included below in the section titled "Payout Criterion" in Appendix A.

**CERTIFICATIONS PURSUANT TO SECTION 5c OF THE COMMODITY EXCHANGE
ACT, 7 U.S.C. § 7A-2 AND COMMODITY FUTURES TRADING COMMISSION RULE
40.2, 17 C.F.R. § 40.2**

Based on the above analysis, the Exchange certifies that:

- ☐ The Contract complies with the Act and Commission regulations thereunder.
- ☐ This submission (other than those appendices for which confidential treatment has been requested) has been concurrently posted on the Exchange's website at <https://kalshi.com/regulatory/filings>.

Should you have any questions concerning the above, please contact the exchange at ProductFilings@kalshi.com.



By: Xavier Sottile

Title: Head of Markets

Date: Date of Submission

Attachments:

Appendix A - Contract Terms and Conditions

Appendix B (Confidential) - Further Considerations

Appendix C (Confidential) - Source Agency

Appendix D (Confidential) - Compliance with Core Principles

APPENDIX A – CONTRACT TERMS AND CONDITIONS

**Official Product Name: “Will <player> win <scope> of <tennis match> by
<above/below/exactly/between/at least> <count> <metric>?”**

Rulebook: TENNISWINMARGIN

TENNISWINMARGIN

Scope: These rules shall apply to this contract.

Underlying: The Underlying for this Contract is the official final result for <tennis match>. Revisions to the Underlying made after Expiration will not be accounted for in determining the Expiration Value.

Source Agency: The Source Agencies are, in hierarchical order, the organization governing and the tournament hosting <tennis match>.

Type: The type of Contract is an Event Contract.

Issuance: After the initial Contract, Contract iterations will be listed on an as-needed basis at the discretion of the Exchange and corresponding to the risk management needs of Members.

<player>: <player> refers to an individual tennis player or doubles team specified by the Exchange. <player> may be identified by:

- Full legal name or commonly recognized professional name
- A specific seeded position (e.g., "the #1 seed")
- Nationality or other distinguishing characteristics when unambiguous
- In doubles matches, both members of the team

The identity of <player> shall remain consistent throughout the Contract. If <player> is replaced before the start of <tennis match>, the Contract may resolve to the last fair price as determined at the sole discretion of the Exchange, and a new Contract may be created for the replacement player.

<scope>: <scope> refers to a segment of <tennis match> or the tournament at which <tennis match> is played specified by the Exchange. <scope> may take, but is not limited to the following forms:

- A specified numbered set (e.g., first set, second set) whereby if a specific set is not started, the margin is deemed to be zero (0)
- A deciding set, which refers to the final set of the match that determines the winner. If the match concludes in straight sets, the last completed set is deemed the deciding set. If a match tiebreak is used in place of a final set, that tiebreak constitutes the deciding set
- Any set, which may be satisfied if at least one completed set won by <player> meets the Contract condition
- Each set, which may be satisfied if ALL completed sets won by <player> meet the stated Contract condition
- Entire match, which refers to the aggregate result across all completed sets

<scope> may also take the forms of any segment in a set range, refer in the singular or the multiple, by distinguishing characteristics (e.g., any tennis match involving a player from Spain at the Australian Open), "Any" or "None".

<tennis match>: <tennis match> refers to the officially scheduled contest between two players (singles) or two teams (doubles) as recognized by the governing body of the tournament. <tennis match> may be defined by the names of the players involved, by the stage of the tournament, as any tennis match within a set of tennis matches (including within or representative of the whole tournament), or by distinguishing characteristics. <tennis match> may also take the forms "Any" or "None".

<above/below/exactly/at least/between>: <above/below/exactly/at least/between> refers to comparison operators. "Above" means greater than ($>$), "below" means less than ($<$), "exactly" means equal to ($=$), "at least" means greater than or equal to ($\geq$), and "between" means within an inclusive range ($\geq$ lower bound and $\leq$ upper bound).

<count>: <count> refers to a numerical value specified by the Exchange representing the margin of victory. <count> may include whole numbers, half-values (e.g., 1.5, 2.5), or zero.

<metric>: <metric> refers to the unit of measurement for the margin of victory, specified by the Exchange as either "game" or "set."

When <metric> is "game":

- The margin is calculated as the difference in games won by <player> minus games won by <player>'s opponent within <scope>
- In a set ending 6-4, the winning player's margin is 2 games (6 minus 4)
- In a tiebreak set ending 7-6, the winning player's margin is 1 game (7 minus 6)
- If <scope> refers to multiple sets or the entire match, the margin is the cumulative difference in total games won across all completed sets within <scope>

When <metric> is "set":

- The margin is calculated as the difference in sets won by <player> minus sets won by <player>'s opponent
- In a match ending 3-1, the winning player's margin is 2 sets (3 minus 1)
- In a match ending 3-0 (straight sets), the winning player's margin is 3 sets (3 minus 0)
- <scope> must refer to the entire match or multiple matches for this metric to apply meaningfully

<date>: <date> refers to a calendar date specified by the Exchange. The Exchange may list iterations of the Contract corresponding to variations of <date>.

Payout Criterion: The Payout Criterion for the Contract encompasses the Expiration Values that <player> wins <scope> of <tennis match> and the margin of victory is <above/below/exactly/between/at least> <count> <metric>.

For the Contract to resolve "Yes," the following conditions must be met:

1. <player> must win <scope> (i.e., if <scope> is a set, <player> must win that set; if <scope> is the entire match, <player> must win the match)
2. The margin of victory measured in <metric> must satisfy the comparison operator relative to <count>

Additional clarification(s):

Calculating Margins:

- The margin is always calculated as <player>'s total <metric> minus opponent's total <metric> within <scope>
- A negative margin indicates <player> lost <scope>; such Contracts asking if <player> won <scope> resolve "No" regardless of the specified margin condition
- For <metric> = "game": Each standard game, no-ad game, and tiebreak counts as one (1) game. A traditional 7-point tiebreak and a 10-point match tiebreak both count as one (1) game
- For <metric> = "set": Only completed sets won by a player count toward the margin. An unfinished set does not count
- If <player> does not win <scope>, the Contract resolves "No" regardless of the margin

Scope-Specific Rules:

- If <scope> is a specified numbered set (e.g., "second set") and that set is not completed, the margin is deemed zero (0) and <player> is deemed not to have won that set
- If <scope> is "any set," the Contract resolves "Yes" if <player> wins at least one set within the match by the specified margin
- If <scope> is "each set," the Contract resolves "Yes" only if <player> wins ALL sets they win by at least the specified margin (sets won by the opponent are not evaluated)
- If <scope> is the "entire match" and <metric> is "game," the margin is calculated across all completed sets in the match

Match Interruptions and Cancellations:

- If <tennis match> is cancelled prior to the beginning of the first set, the market will resolve to the last fair price as determined at the sole discretion of the Exchange. If <tennis match> is a set of matches, the above does not strictly need to apply

- If <tennis match> is cancelled after the beginning of the first set, all markets that are not able to be already settled will resolve to the last fair price as determined at the sole discretion of the Exchange
- If <tennis match> is suspended and resumed, the final official result after resumption governs settlement
- If <tennis match> is delayed but is scheduled to occur within the same containing tournament, the market will remain open. Additionally, if there is a change of venue, playing surface, or court conditions, but the containing tournament of <tennis match> remains, the market will remain open
- If <tennis match> is delayed and not scheduled to occur within the same containing tournament, the market will resolve to the last fair price as determined at the sole discretion of the Exchange and a new market will be created for the newly scheduled <tennis match>

Player Withdrawals and Retirements:

- If <player> withdraws prior to the first set of <tennis match>, all related markets will resolve to the last fair price as determined at the sole discretion of the Exchange
- If <player> retires due to injury or other circumstance during the match, contracts on specific completed scopes (e.g., "first set") that can be unconditionally settled prior to the point of retirement shall be settled based on the completed result. Contracts on incomplete scopes or the entire match will resolve to the last fair price determined at the sole discretion of the Exchange.
- If <player>'s opponent retires, contracts on specific completed scopes (e.g., "first set") that can be unconditionally settled prior to the point of retirement shall be settled based on the completed result. Contracts on incomplete scopes or the entire match will resolve to the last fair price determined at the sole discretion of the Exchange.

Player Substitutions:

- In the case that <player> drops out and a new player takes over, the original Contract may settle to the last fair price determined in the sole discretion of the Exchange and a new Contract may be created for the substitute player

Disqualifications:

- If <player> is disqualified after the conclusion of <scope> or <tennis match>, the results will not be adjusted and the official recorded result governs settlement
- If <player> is disqualified during <scope> or <tennis match>, markets that are unable to be unconditionally determined will resolve to last fair price as determined in the sole discretion of the Exchange, and those able to be unconditionally determined shall be.

Default Wins and Walkovers:

- If <player> wins <scope> or <tennis match> by walkover (opponent does not appear), default, or disqualification before play begins, all markets shall resolve to last fair price as determined in the sole discretion of the Exchange.

Data Delays:

- If data regarding the results of <tennis match> is delayed or unavailable, the Exchange may wait 24 hours for data availability, after which it may resolve markets to the last fair price as determined at the sole discretion of the Exchange

Format Changes:

- If the format of <tennis match> changes (e.g., from best-of-5 to best-of-3 sets) and affects the available market(s), the Exchange may resolve to the last fair price for affected market(s) as determined at the sole discretion of the Exchange

Tiebreaks and Scoring Systems:

- In sets that use a tiebreak in place of a traditional final set (e.g., a 10-point match tiebreak at 6-6), the tiebreak counts as one (1) game for margin calculation purposes
- If a set ends 7-6 via tiebreak, it counts as 7 games to 6 games for margin purposes (margin = 1 game for the winner)
- Super tiebreaks or match tiebreaks count as a single game and as the deciding set

Multiple Matches:

- If <tennis match> refers to multiple matches (e.g., "any match in the quarterfinals"), the Contract resolves "Yes" if <player> wins at least one such match meeting the Payout Criterion, unless otherwise specified
- If the Contract specifies "all matches" or similar language, <player> must win all applicable matches by the specified margin

Minimum Tick: The Minimum Tick size for the Contract shall be \$0.01.

Position Accountability Level: The Position Accountability Level for the Contract shall be \$25,000 per strike, per Member.

Last Trading Date: The Last Trading Date of the Contract will be the same as the Expiration Date. The Last Trading Time will be the same as the Expiration time.

Settlement Date: The Settlement Date of the Contract shall be no later than the day after the Expiration Date, unless the Market Outcome is under review pursuant to Rule 7.1.

Expiration Date: The latest Expiration Date of the Contract shall be 48 hours after the latest scheduled date of <tennis match>. If an event described in the Payout Criterion occurs, expiration will be moved to an earlier date and time in accordance with Rule 7.2.

Expiration time: The Expiration time of the Contract shall be 10:00 AM ET.

Settlement Value: The Settlement Value for this Contract is \$1.00.

Expiration Value: The Expiration Value is the value of the Underlying as documented by the Source Agency on the Expiration Date at the Expiration time.

Contingencies: Before Settlement, Kalshi may, at its sole discretion, initiate the Market Outcome Review Process pursuant to Rule 7.1 of the Rulebook. If an Expiration Value cannot be determined on the Expiration Date, Kalshi has the right to determine payouts pursuant to Rule 7.1 in the Rulebook.